out. The fall in group stocks continued on February 1, even as the finance minister was presenting the Union budget, with Adani Enterprises shares alone plunging 30 per cent. This was after media reports claimed Credit Suisse had stopped accepting bonds of Adani companies as collateral for margin loans to private banking clients. From being the world's third-richest days ago, Adani was pushed to the 15th spot, with a net worth of $75.1 billion (about Rs 6.2 lakh crore) as per the Forbes real-time rich list on February 1, also behind Mukesh Ambani, who reclaimed his position as India's richest, with a wealth of $83.7 billion (about Rs 6.86 lakh crore).

The Hindenburg report, published on January 24, came just ahead of the group flagship Adani Enterprises' plan to make a follow-on public offer (FPO) to raise Rs 20,000 crore from the market to fuel expansion plans and repay some of its debt. But after the allegations, shares of Adani Enterprises were trading below the floor price of the FPO, which was in the band of Rs 3,112-3,276 per share. This made retail investors largely keep away from the offering. On February 1, shares of Adani Enterprises closed at Rs 2,128.70 on the BSE. Although the FPO was fully subscribed by January 31, especially with the support of high net worth individuals, the Adani Group called off the FPO on February 1, which it said was "in the interest of its subscribers" and "it would not be morally correct" to go ahead with the offer. In a statement on February 2, Gautam Adani said: "This decision will not have any impact on our existing operations and future plans. We will continue to focus on timely execution and delivery of projects."

In its report, Hindenburg, which has disclosed that it held "short positions" in Adani Group companies through US-traded bonds and non-Indian-traded derivatives, said the $218 billion (Rs 17.8 lakh crore) group engaged in a "brazen stock manipulation and accounting fraud scheme over the course of decades". The US firm, which has a history of "shorting" large corporate houses, said the group used shell companies overseas, managed by Gautam's elder brother Vinod Adani, to artificially inflate the turnover of its seven listed companies.

In its exhaustive clarification, the Adani Group said answers to 65 of the 88 questions the Hindenburg report raised have already been disclosed by Adani portfolio companies from time to time. Of the remaining 23, 18 were related to public shareholders and third parties, and five were baseless allegations. It alleged that charges levelled in the report appeared to be "selective and manipulative presentation of matters already in the public domain to create a false narrative". The Adani Group asserted that it is in complete compliance with all applicable laws and regulations and may pursue "remedies to safeguard our stakeholders before all appropriate authorities". It also termed the allegations an attack on the nation. In a rebuttal to Adani's explanations, Hindenburg found the answers unsatisfactory and persisted with its accusations, adding that "fraud cannot be obfuscated by nationalism". The opposition Congress demanded an investigation by markets regulator Sebi and the central bank.

Hindenburg, named after the 1937 airship explosion in New Jersey that killed 36 passengers, was founded in 2017 to analyse equity, credit and derivative markets, and has targeted at least 16 companies so far. As it clarified, it has skin in the game: it aims to profit via 'shorting', or advance selling of the targeted company's stocks in anticipation of the crash it brings about with its research. A key allegation Hindenburg has raised is that Adani companies have taken on substantial debt, putting the group on a precarious financial footing. Adani refutes this, saying the company has consistently deleveraged, with its portfolio net debt to Ebitda ratio (a measure of indebtedness) dipping from 7.6x to 3.2x. Adani's debt had swelled to

WAR OF WORDS

HINDENBURG ALLEGATION

- Adani companies have taken on substantial debt, putting the group on a precarious financial footing
- Adani's elder brother Vinod Adani, through several close associates, manages a vast labyrinth of offshore shell entities; 38 of them were identified
- Adani Enterprises has had a high turnover of Chief Financial Officers–five over eight years–which indicates potential accounting issues
- Shah Dhandharia, the independent auditor for Adani Enterprises and Adani Total Gas, seemed inexperienced and incapable of complex audit work
- Adani's younger brother, Rajesh, was accused by the DRI in a diamond scam and was arrested. He is an MD. Brother-in-law Samir Vora, too, was accused by the DRI

ADANI REBUTTAL

- The group has consistently reduced debt, with its portfolio net debt to Ebitda ratio coming down from 7.6x to 3.2x
- These are "reckless statements" made without presenting any evidence and without any understanding of the Indian laws around related party transactions
- Several of the past CFOs that Hindenburg claimed have left are in fact still part of the organisation in various other capacities, including in larger or key roles
- Shah Dhandharia is a peer-reviewd CA firm. There are more than 35 statutory audit firms that audit the various entities within Adani Enterprises, including a mix of the Big 6 statutory auditors
- An appellate tribunal had set aside all the allegations of the DRI and confirmed that all the transactions of the diamond business were valid and genuine, and the Supreme Court had upheld the order of the tribunal